

Tutorial 11

Earnings, Catalysts, Implied Volatility, and IV Crush

Prepare before the event; do not chase the candle after the move.

Student Guide | Trading Education Workbook

Purpose of this handout

This document turns one coaching topic into a focused lesson, practice routine, and homework assignment. It is written for education and paper-trading practice only. It is not financial advice and does not recommend buying, selling, shorting, or holding any security.

Source of the lesson

Based on the coaching conversation with Val and Adel on technical execution, risk management, chart study, market structure, and options/catalyst awareness. External references are included to deepen the concept and give the student reliable follow-up reading.

How to use this tutorial

- Read the objective and key terms first.
- Study the chart logic slowly before trying to trade it.
- Complete the practice drill using paper trading or chart replay.
- Answer the homework questions at the end in writing.

Learning Objective

By the end of this tutorial, the student should understand why earnings and catalyst trades must be planned before the event, why options can lose value even when direction is correct, and why company/competitor research should come before the day-of move.

One-sentence lesson

Do not gamble on the earnings candle. Prepare for the catalyst weeks before, understand implied volatility, and know that IV crush and slippage can damage a trade even when the chart direction looks right.

Key Terms

Term	Student Definition	Use in the Lesson
Catalyst	A known event that may create price movement.	Examples: earnings, contract news, product news, macro data.
Earnings	Company report/update on financial performance.	Often creates large gaps or volatility.
Implied volatility (IV)	Market expectation embedded in option prices.	Can rise before events and fall after events.
IV crush	A sharp drop in IV after uncertainty is removed.	Can reduce option value after earnings.
Expected move	Market-implied estimate of potential movement.	Helps compare priced-in movement with actual movement.
Slippage	Difference between intended execution price and actual fill.	Common risk in fast-moving event trades.
10-K / 10-Q	Annual and quarterly company filings.	Used for deeper fundamental research.

Catalyst trades should be planned before the event, not emotionally chased after the gap.



Why the Opportunity Starts Before Earnings Day

In the coaching session, Adel used Texas Instruments as the example. The key point was that the day-of earnings move may not be the best opportunity. By the time price gaps, the move may already be partly priced in, option premiums may be expensive, and execution can be difficult.

The danger of being right but still losing

Options traders can be correct on direction and still lose if implied volatility drops, the expected move was already priced in, or the fill suffers from slippage. This is why preparation matters more than excitement.

Before vs During vs After the Catalyst

Time Window	What to Study	Main Risk
2-3 weeks before	Company filings, competitors, sector trend, recent guidance, chart structure.	Missing the preparation window.
1 week before	Options IV, expected move, support/resistance, volume trend.	Overpaying for premium.
Day before	Final plan: no-trade, defined-risk trade, or wait for reaction.	Emotional conviction.
Earnings day	Gap behavior, liquidity, spread, volume, acceptance/rejection.	Slippage and IV crush.
After event	Actual reaction vs expected move; IV change; new levels.	Chasing after the easy move is gone.

Catalyst Research Process

- 1. Identify the catalyst date: earnings, major announcement, product event, contract news, or macro release.
- 2. Read the latest 10-K/10-Q or earnings materials to understand revenue, profit, cash flow, debt, and risk factors.
- 3. Compare competitors and sector behavior. One company's report can affect the group.
- 4. Mark weekly/daily structure before looking at the intraday chart.
- 5. Check option implied volatility, expected move, expiration, strike liquidity, and bid-ask spreads.
- 6. Decide before the event whether you will trade before, trade after reaction, or not trade at all.
- 7. After the event, record what happened: gap-and-go, gap-and-fade, IV crush, price acceptance, or rejection.

Event Trade Decision Table

Evidence	Better Decision
You did not research the company or options chain.	No trade.
IV is elevated and bid-ask spreads are wide.	Be very cautious; options execution risk is high.
Move is already larger than expected move at the open.	Avoid chasing; wait for acceptance/rejection.
Price gaps and holds above structure with volume.	Possible gap-and-go study; still define risk.
Price gaps then rejects and falls back into value.	Possible gap-fade study; avoid emotional long entries.
Post-earnings IV collapses.	Review whether options premium loss outweighed direction.

Practice Drill

Choose five recent earnings stocks and create a before/after event log. This is a research exercise, not a trade recommendation.

Item to Submit	Done
Record the stock price two weeks before earnings.	
Record IV or option premium before earnings.	
Record expected move if available.	
Record the actual move on earnings day.	
Record IV or option premium after earnings.	
Write whether the event was gap-and-go, gap-and-fade, or no clear setup.	

Mistakes to Avoid

- Buying options right before earnings without understanding IV.
- Assuming a big gap means there is still easy money left.
- Ignoring competitors and sector context.
- Forgetting that spreads widen in fast markets.
- Confusing a good company with a good day trade.
- Trading the event because of excitement instead of a written plan.

Research References

1. **OIC - Implied Volatility: An Overview**
Explains IV as a major part of options pricing and how changes in IV can affect option value.
<https://www.optionseducation.org/videolibrary/what-is-implied-volatility>
2. **OIC - Vega**
Explains Vega as an option's sensitivity to changes in implied volatility and notes uncertainty/news can affect IV.
<https://www.optionseducation.org/advancedconcepts/vega>
3. **Fidelity/Cboe - Options, Volatility and Earnings**
Explains earnings volatility crush after uncertainty is removed around an earnings announcement.
https://www.fidelity.com/bin-public/060_www_fidelity_com/documents/learning-center/Transcript_CBOE%20volatility%20and%20earnings_v2.pdf
4. **SEC Investor.gov - How to Read a 10-K/10-Q**
Explains that public companies file annual 10-Ks and quarterly 10-Qs with detailed business and financial information.
<https://www.investor.gov/introduction-investing/general-resources/news-alerts/alerts-bulletins/investor-bulletins/how-read>
5. **SEC - Beginners' Guide to Financial Statements**
Explains balance sheets, income statements, cash flow statements, and statements of shareholders' equity.
<https://www.sec.gov/about/reports-publications/investorpubsbegfirstmtguide>

Homework - Complete Before the Next Session

Select one upcoming or recent earnings stock. Do not use real money for this homework; use research notes and chart replay.

Question / Prompt	Student Answer
What was the catalyst, and what date did it occur or will it occur?	
What did the company report or what is expected from the event?	
What did the latest 10-K/10-Q or earnings materials say about revenue, profit, cash flow, or risks?	
Which competitors should be compared, and why?	
What was IV or option premium behavior before the event?	
What was the expected move, and how did the actual move compare?	
Did IV crush happen after the event? How do you know?	
Would this have been a trade before the event, after the reaction, or no trade? Explain.	

Submission Checklist

Item to Submit	Done
One catalyst research page with company and competitor notes.	
One chart marked before and after the event.	
One paragraph explaining how IV and expected move affected the decision.	